



NEDA LABS LIMITED

nTZS — Tanzanian Shilling Stablecoin
Dar es Salaam, United Republic of Tanzania

Request to Extend an Approved Off-Ramp Destination — Registered Merchant Tills and Billers

To: Bank of Tanzania — Regulatory Sandbox / National Payment Systems

From: NEDA Labs Limited

Subject: Proposed extension of the approved off-ramp to permit settlement to registered merchant tills (Lipa Namba, including TANQR) and registered billers

Classification: Regulatory — Bank of Tanzania Sandbox Submission

1. Purpose

NEDA Labs requests confirmation that an approved off-ramp may settle to a **registered merchant till or registered biller account** in addition to a mobile money wallet.

We are not requesting a change to any approved Testing Parameter, an increase in value at risk, a new payment service provider, or any change to the custody of the reserve.

2. What the flow consists of

The flow has two legs. Each already operates in production under the Bank's existing approval:

Leg	Status
Inbound value converted to Tanzanian shillings and paid out	Operating under the approved off-ramp, settling to mobile money
Tanzanian shillings settled to a registered merchant till or biller	Operating as domestic customer payment, settled through our licensed payment service provider

What is not yet permitted is joining them: directing an approved off-ramp's shillings to the second destination instead of the first. It is a routing decision applied to funds already moving through approved channels.

3. Position of the merchant

The merchant is paid in Tanzanian shillings, into the till or biller account they already hold with our licensed payment service provider.

The merchant holds no digital asset at any point, opens no new account, and makes no change to how they operate or reconcile. From the merchant's side the settlement is indistinguishable from any other payment received through that provider.

4. What we have built

The joined path is complete, tested, and deployed behind a control flag. It is **not enabled**, and will not be enabled without the Bank's confirmation of the terms under which it may operate.

Prospective deployment partner: a licensed digital payments provider that has integrated our on-ramp and off-ramp. No merchant settlement has been executed for any customer.

5. Design decision we wish to draw to the Bank's attention

Settlement to merchant tills and billers is already enabled for domestic customer payments. The capability requested here uses the same rail and the same provider, and could therefore have been implemented so that the existing domestic permission governed it — placing cross-border settlement beyond a separate decision by the Bank.

We did not implement it that way. The joined path is governed by its own control, independent of the domestic one, so that enabling domestic bill payment cannot enable cross-border merchant settlement as a side effect. Neither control can be switched on by the other.

We mention this because it explains why we are before the Bank at all: the constraint we have encountered is one we chose to keep.

6. Controls applying to merchant settlement

1. **Name disclosure.** The merchant's registered trading name is resolved and presented to the payer before authorisation. A payment cannot execute against a destination the payer has not been shown by name.
2. **Fee disclosure.** Every charge is itemised at quotation. The quotation is binding: execution charges exactly what was quoted, or does not execute.
3. **Destination binding.** The destination is fixed at quotation and cannot be substituted at execution.
4. **Single-use authorisation.** A quotation is consumed once and expires after sixty seconds.
5. **Testing parameters.** All approved parameters apply unchanged, per transaction and per participant. Every refusal is recorded.
6. **Reversal.** Where settlement fails, value is returned to its source automatically. A merchant is never partially paid.
7. **Reporting.** Settlement records enter the same reconciliation and daily reserve attestation the Bank already receives.
8. **Suspension.** The capability is governed by a single control. It can be withdrawn immediately, and doing so halts merchant settlement without affecting any other activity.

7. Proposed conditions

We propose to operate under whatever conditions the Bank considers appropriate, and suggest the following:

1. **Approved Testing Parameters apply unchanged**, per transaction and per participant.
2. **Destinations limited to tills and billers already registered** with our licensed payment service provider. We introduce no merchants of our own.
3. **Separate reporting** in the periodic return: volume, value and counts by destination type, and any failed settlements, distinct from domestic activity.
4. **A defined initial period**, after which we report and the Bank determines whether it continues.

5. **Suspension on request**, effective immediately.

8. What the pilot would evidence

A supervised period would produce direct evidence on:

- settlement success rates and settlement times by destination type
- the proportion of inbound value reaching merchants directly rather than being converted and cashed out before purchase
- the cost to the payer compared with converting and cashing out
- whether merchants reconcile such settlements without difficulty

We would share this data with the Bank in full, including results that do not support the proposition.

9. Requested next step

Confirmation that settlement of approved off-ramp value to a registered merchant till or biller falls within the scope of our approved off-ramp on the conditions above, together with any additional reporting or limits the Bank wishes to attach.

We are able to demonstrate the flow end to end, including the authorisation screen presented to the payer and the settlement record produced, at the Bank's convenience.

Contact

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